

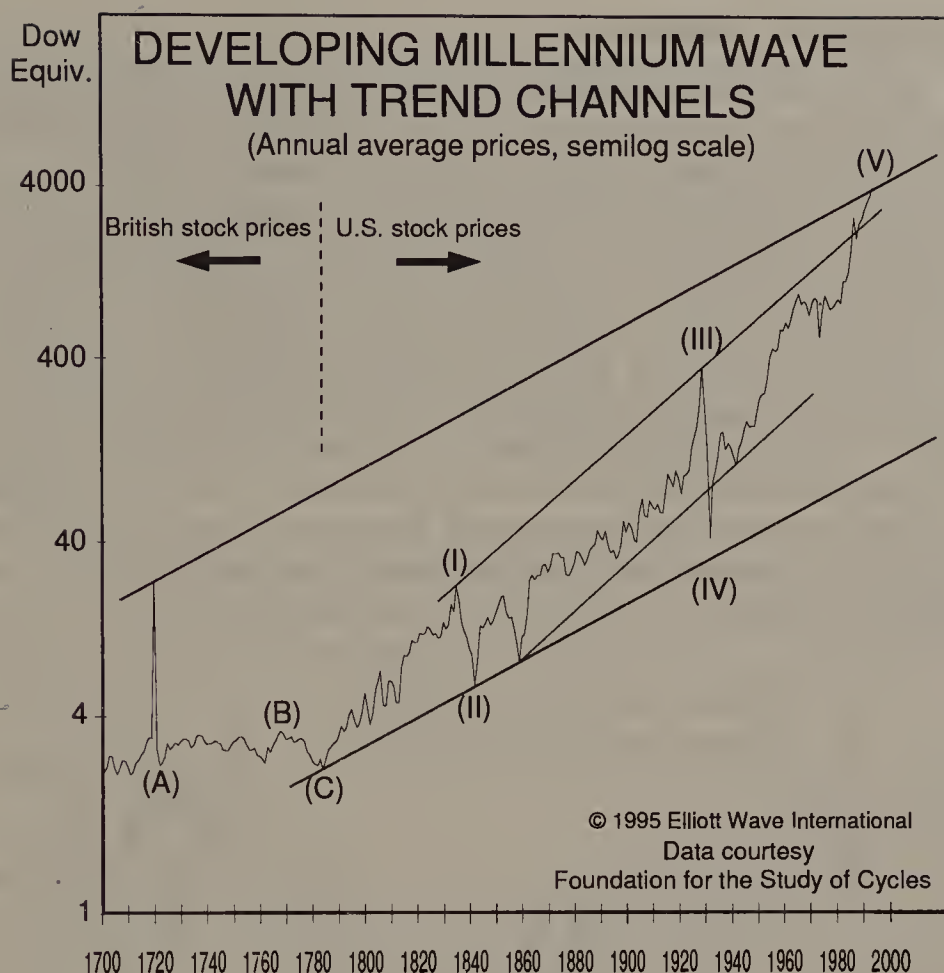


Figure 2-3

connecting the lows of 1784 and wave (II) in 1842. This line also happens to touch perfectly the lows of 1857 and 1859, affording it further validity as a technical measure of undervaluation. We can now draw a parallel line upward from the top of 1720, as shown in Figure 2-3. The outcome is very exciting, because *the resulting line touches today's prices exactly*. This precise meeting powerfully supports both the already overwhelming case that stocks are more expensive than at any time since 1720 *and* the conclusion that the advance from 1784 is terminating. At this juncture, we are not addressing whether the rise from 1784 is wave Three or wave Five of an even larger structure. The difference is of profound practical importance, though, and will be thoroughly addressed in Chapter 5.